

FEDERAL MARITIME COMMISSION

SANTA FE DISCOUNT CRUISE PARKING,
INC., D/B/A EZ CRUISE PARKING;
LIGHTHOUSE PARKING INC; AND
SYLVIA ROBLEDO D/B/A 81ST DOLPHIN
PARKING,

Complainants,

v.

THE BOARD OF TRUSTEES OF THE
GALVESTON WHARVES; AND THE
GALVESTON PORT FACILITIES
CORPORATION,

Respondents.

Docket No. 14-06

Served: April 16, 2021

BY THE COMMISSION: Daniel B. MAFFEI, Chairman,
Rebecca F. DYE, Michael A. KHOURI, Louis E. SOLA, Carl W.
BENTZEL, Commissioners.

Order on Initial Decision on Remand

This case is before the Commission on Complainants' exceptions to the Administrative Law Judge's (ALJ) Initial Decision on Remand (I.D.R.). In 2015, the ALJ dismissed Complainants'

claims, and the Commission affirmed the dismissal. Complainants Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking (EZ Cruise) and Sylvia Robledo d/b/a 81st Dolphin Parking (81st Dolphin) petitioned for review, and the United States Court of Appeals for the District of Columbia Circuit (D.C. Circuit) vacated the Commission's decision and remanded the case for further proceedings. The Commission remanded the case to the ALJ, and, on November 16, 2018, the ALJ issued the I.D.R. again dismissing Complainants' claims.

For the reasons set forth below, the Commission: (1) reverses the I.D.R. and finds that Respondent The Board of Trustees of the Galveston Wharves (Board) violated 46 U.S.C. § 41106(2) with respect to EZ Cruise and 81st Dolphin; (2) vacates the I.D.R. with respect to attorney fees; and (3) affirms the dismissal of all other claims. The Commission further remands this case to the ALJ to determine an appropriate reparations award.

I. BACKGROUND

A. 2003 Tariff and Complainants' Request for Different Treatment

The Board of Trustees of the Galveston Wharves and the Galveston Port Facilities Corporation (GPFC) (collectively, Respondents)¹ operate a cruise ship terminal complex on Galveston Island in Texas. Complainants are private companies that own or operate parking lots located outside the port but within a few blocks of the cruise terminal. Most of Complainants' customers are cruise passengers seeking to park their vehicles for the duration of their

¹ As noted below, GPFC did not establish or revise the tariffs at issue and has not billed or collected cruise terminal access fees from Complainants. See I.D.R. at 35. The ALJ's Findings of Fact, however, refer to the GPFC and the Board collectively. Consequently, this Order refers to Respondents collectively except where a distinction is relevant.

cruises. Each Complainant operates shuttle buses to transport customers and their luggage directly to and from the cruise terminal.

In 2003, Respondents issued Tariff Circular No. 6 (2003 Tariff),² which, among other things, imposed access fees on certain vehicles for entering the cruise terminal. The access fees were as follows:

2003 Tariff

Vehicle Type	Per-Trip Fee	Annual Decal Fee
Bus, Charter Bus, Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle	\$10 per-trip	
Limousines		\$10 per decal per vehicle, annually
Taxis		\$7.50 per decal per vehicle, annually

FF 29.³ Under this tariff, Complainants' shuttle buses and hotel shuttle buses were subject to the \$10 per-trip fee. Taxis and limousines did not pay a per-trip fee.

Respondents began assessing access fees in September 2004 and started issuing invoices in January 2005. Although Respondents invoiced Complainants for their access to the cruise terminal, Complainants did not pay. Instead, they sought to negotiate a

² Although this document and others are referred to as "tariffs," they appear to be "marine terminal operator schedules" under Commission regulations. *Compare* 46 C.F.R. § 525.1(c)(17) (defining "schedule") *with* 46 C.F.R. § 520.2 (defining "tariff" as a common carrier publication).

³ This Order cites Findings of Fact from the I.D.R. as "FF ____." It cites other parts of the I.D.R. by page number, e.g., "I.D.R. at ____."

different amount. For instance, Complainant EZ Cruise Parking asserted that the \$10 per-trip fee was too high, and it proposed a flat monthly fee that would allow its shuttle buses unlimited access to the cruise terminal.

Eventually, Complainants and Respondents agreed on a flat fee of \$8.00 per month for each parking space in Complainants' lots, which would allow unlimited access to the cruise terminal for Complainants' shuttle buses. Respondents agreed to apply this per-space fee retroactively to January 2005 and to recalculate Complainants' unpaid access fees. The retroactive application of the per-space fee saved Complainants thousands of dollars compared to what they owed based on the \$10 per-trip fee.

B. 2006 Tariff: Implementing Per-Space Fees

To memorialize the parties' compromise, on August 28, 2006, Respondents amended Tariff Circular No. 6 so that the access fees were as follows:

2006 Tariff

Vehicle Type	Per-Trip Fee	Annual Decal Fee	Per-Space Fee
Bus, Charter Bus, Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle	\$10 per-trip		
Limousines		\$10 per decal per vehicle, annually	
Taxis		\$7.50 per decal per vehicle, annually	

Off-Port Parking Users [Complainants]			\$8.00 per parking space, monthly
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FF 44. The “2006 Tariff” stated that the \$8.00 per-space fee would be effective as of August 15, 2006. Once Respondents implemented the per-space fee, they stopped counting the trips of Complainants’ shuttles. Respondents did not apply the per-space fee to hotels. Rather, they continued to treat hotel shuttle buses as subject to the \$10 per-trip fee.

C. 2007 Tariff: Per-Trip Fees Amended to Account for Vehicle Capacity

In December 2007, Respondents amended Tariff Circular No. 6 to change the per-trip fees so that they varied based on vehicle capacity. The \$8.00 per-space fee applicable to Complainants did not change. Moreover, certain taxis and limousines still only paid annual decal fees and not per-trip or per-space fees. The “2007 Tariff” provided:

2007 Tariff

Vehicle Type	Per-Trip Fee	Annual Decal Fee	Per-Space Fee	Terminal Parking Fee
Charter Bus				\$50 parking fee per use
Bus, Commercial Passenger Vehicle, Courtesy Vehicle with seating capacity	\$50 per-trip	\$10 per decal per vehicle, annually		

greater than 15 persons				
Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle, or Limousine with seating capacity of 15 persons	\$20 per-trip	\$10 per decal per vehicle, annually		
Commercial Passenger Vehicle, Courtesy Vehicle or Shuttle with seating capacity of up to 14 persons	\$10 per-trip	\$10 per decal per vehicle, annually		
Limousines or Taxis with seating capacity of nine to 14 persons	\$10 per-trip	\$10 per decal per vehicle, annually		
Limousines with seating capacity of not more than 8 persons		\$10 per decal per vehicle, annually		
Taxis with seating capacity of not more than 8 persons		\$7.50 per decal per vehicle, annually		
Off-Port Parking Users [Complainants]			\$8.00 per parking space, monthly	

FF 50-52.

D. July 2014 Tariff: Fees Increase

Approximately six years later, Respondents considered amending Tariff Circular No. 6 to increase both per-trip and per-space access fees but declined to do so. According to Respondents, around the same time, they conducted a review of cruise terminal finances and operations. Among other things, the study disclosed that the employee responsible for counting vehicles accessing the cruise terminal was not aware of the higher per-trip fees for larger buses and shuttle vans in the 2007 Tariff. Consequently, Respondents charged all such vehicles \$10 per-trip regardless of capacity. Additionally, the study revealed that limousines were not being charged in accordance with the 2007 Tariff either, at least after September 13, 2008.

On May 19, 2014, Respondents amended Tariff Circular No. 6, effective July 1, 2014, and increased some access fees and combined some vehicle categories. Complainants' per-space fee increased from \$8.00 per space to \$28.88 per space. Additionally, for the first time, all limousines were subject to a per-trip fee in addition to the annual decal fee. The "July 2014 Tariff"⁴ specifically provides that:

July 2014 Tariff

Vehicle Type	Per-Trip Fee	Annual Decal Fee	Per-Space Fee	Terminal Parking Fee
Charter Bus				\$60 parking fee per use

⁴ Although Tariff Circular No. 6 was amended May 2014, because it was effective July 2014, this Order refers to it as the July 2014 Tariff.

Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Limousine with seating capacity of 15 persons or more	\$30 per-trip	\$25 per decal per vehicle, annually		
Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle, or Limousine with seating capacity of less than 15 persons	\$20 per-trip	\$15 per decal per vehicle, annually		
Taxis with City of Galveston permit		\$7.50 per decal per vehicle, annually		
Off-Port Parking Users [Complainants]			\$28.88 per parking space, monthly	

FF 65.

E. Complainants File Suit

On June 16, 2014, Complainants filed a complaint with the Commission alleging that Respondents violated 46 U.S.C. § 41102(c), § 41106(2), and § 41106(3). Complainants' § 41106(2) unreasonable preference claims centered on allegedly preferential treatment given to Respondents' own shuttle buses, two other private parking lots, and hotels (who Complainants argued should

have been required to pay per-space fees rather than per-trip fees). Complainants also alleged that the increase in per-space fees in the July 2014 Tariff was unreasonable.⁵

F. October 2014 Tariff

Respondents amended Tariff Circular No. 6 again on September 22, 2014. The tariff immediately rescinded the July 2014 Tariff to the extent it increased the monthly per-space fee.⁶ The tariff also eliminated monthly per-space fees beginning October 1, 2014. From that point forward, Complaints were subject to per-trip fees like others accessing the cruise terminal. This “October 2014 Tariff” did not otherwise change the access fees from the July 2014 Tariff. As a result of the October 2014 Tariff, Complainants never paid the \$28.88 monthly per-space access fee. Further, taxis continued to be the only type of vehicle exempt from a per-trip (or in the case of charter buses, per-use) access fee.

As of October 1, 2014, Respondents imposed access fees as follows:

⁵ Complainants also filed a complaint in U.S. district court in Texas seeking, among other things, a preliminary injunction under the Shipping Act to bar Respondents from enforcing the July 2014 Tariff. In August 2014, the court entered an agreed order that permitted Complainants, while the Commission case was pending, to deposit new monthly access fees above \$8.00 per space into the court registry while paying \$8.00 per space to fee Respondents. The order also provided that Respondents were not to deliver invoices to Complainants related to access fees. Agreed Interim Order, *Santa Fe Discount Cruise Parking v. The Board of Trustees of the Galveston Wharves*, No. 3:14-cv-00206 (S.D. Tex. Aug. 5, 2014), ECF No. 11. Complainants continued to make payments to the court through 2020. The case remains pending. *See, e.g.,* Pls.’ Mot., *Santa Fe Discount Cruise Parking v. The Board of Trustees of the Galveston Wharves*, No. 3:14-cv-00206 (S.D. Tex. May 14, 2020), ECF No. 50.

⁶ It appears that the tariff also imposed a decal fee on Complainants’ shuttle buses through October 1, 2014. FF 73.

October 2014 Tariff

Vehicle Type	Per-Trip Fee	Annual Decal Fee	Per-Space Fee	Terminal Parking Fee
Charter Bus				\$60 parking fee per use
Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Limousine with seating capacity of 15 persons or more	\$30 per-trip	\$25 per decal per vehicle, annually		
Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle, or Limousine with seating capacity of less than 15 persons	\$20 per-trip	\$15 per decal per vehicle, annually		
Taxis with City of Galveston permit		\$7.50 per decal per vehicle, annually		

FF 73-76.

G. Continued Commission and Court Litigation

In light of the October 2014 Tariff, Complainants filed an amended complaint that was substantially similar to the original complaint but added new allegations. Among other things, the amended complaint alleged that the October 2014 tariff continued to favor taxis, that being subject to per-trip fees constituted an unsubstantiated increase in access fees, and that the October 2014 Tariff did not resolve Respondents alleged failure historically to enforce the tariff against those other than Complainants.

Respondents moved to dismiss, and the ALJ granted in part and denied in part Respondents' motion. *Santa Fe Discount Cruise Parking, Inc. v. The Bd. of Trustees of the Galveston Wharves*, 33 S.R.R. 1283, 2014 FMC LEXIS 31 (ALJ 2014). The ALJ dismissed with prejudice Complainants' § 41102(c) and § 41106(3) claims but allowed the § 41106(2) claims to proceed. 2014 FMC LEXIS 31 at *30, *33, *37-*43. Neither party filed exceptions to the ALJ's order, which became administratively final in December 2014. The parties subsequently filed briefs on the merits of the § 41106(2) claims.

The ALJ issued an Initial Decision dismissing these claims. *Santa Fe Discount Cruise Parking, Inc. v. The Bd. of Trustees of the Galveston Wharves*, No. 14-06, 2015 FMC LEXIS 44 (ALJ Dec. 4, 2015) (2015 Initial Decision or I.D.). The ALJ determined that although Complainants established that they were treated differently than other ground transportation companies, they had failed to prove that: (1) they were similarly situated or in a competitive relationship with those other companies; or (2) that the different treatment caused them injury. *Id.* at *56-*67, *79-*121. Complainants filed exceptions, and the Commission affirmed the lack-of-injury finding. The Commission found the ALJ erred, however, in requiring Complainants to establish that they were similarly situated or in a competitive relationship with other ground transportation companies. *Santa Fe Discount Cruise Parking, Inc. v. The Bd. of Trustees of the Galveston Wharves*, No. 14-06, 2017 FMC LEXIS 1 (FMC Jan. 13, 2017) (FMC Order).

Two of the Complainants – EZ Cruise and 81st Dolphin – petitioned the D.C. Circuit for review of the FMC Order.⁷ On May 11, 2018, the D.C. Circuit granted the petition, vacated the FMC Order, and remanded for further proceedings consistent with the court’s opinion. *Santa Fe Discount Cruise Parking, Inc. v. Fed. Mar. Comm’n*, 889 F.3d 795, 797 (D.C. Cir. 2018) (D.C. Circuit Opinion). The court described the case as involving the Board’s differential treatment of Complainants as compared to taxis and limousines. *Id.* According to the court, the Commission erred in its injury analysis because “Petitioners were plainly injured when they were charged more than the other commercial passenger vehicles.” *Id.* The court left open, however, the possibility that the Respondents would be able to show that the differential treatment of the parking lot shuttle buses was justified by legitimate transportation factors, a step of the analysis the Commission did not reach. *Id.*

The Commission remanded this proceeding to the ALJ to address “all remaining issues, including whether the Port’s different treatment was justified by valid transportation factors, whether the Shipping Act’s statute of limitations bars any of Complainants’ claims, and whether Complainants are entitled to relief.” *Santa Fe Discount Cruise Parking, Inc. v. The Bd. of Trustees of the Galveston Wharves*, 1 F.M.C.2d 155, 156-57 (FMC 2018). The ALJ requested the parties’ views on what issues remained and whether additional briefing was necessary. Complainants identified four outstanding issues: (1) whether Respondents justified the disparate treatment regarding taxis; (2) whether Respondents justified the disparate treatment regarding limousines; (3) whether Respondents justified the disparate selective enforcement of the Tariffs; and (4) whether the statute of limitations barred relief. Both parties stated that no additional briefing was necessary.

On November 16, 2018, the ALJ issued the I.D.R. again dismissing Complainants’ § 41106(2) unreasonable preference

⁷ Complainant Lighthouse did not join in the appeal.

claims. The ALJ dismissed certain claims as administratively final, dismissed others as abandoned, and dismissed claims against GPFC for the same reasons as in the 2015 Initial Decision. I.D.R. at 4, 18. The ALJ dismissed the claims of unreasonable preference with respect to hotel shuttle buses on the grounds that Complainants had not proved that the unequal treatment was not justified by differences in transportation factors and because Complainants had not shown that they were injured by the difference between the per-space fee as compared to the per-trip fee paid by hotel shuttle buses. I.D.R. at 8, 40-43, 47-61.

The ALJ dismissed the unreasonable preference claims with respect to taxis and limousines because Complainants had not proved that the unequal treatment was not justified by differences in transportation factors. *Id.* at 8, 44-46. The ALJ found, however, that if Respondents' conduct was unjustified, then Complainants were injured by the disparate treatment with respect to taxis. *Id.* at 8, 47, 65. The ALJ also concluded that the statute of limitations would bar reparations for conduct occurring before June 16, 2011 (three years before the filing of the original complaint). *Id.* at 65-66. Finally, the ALJ determined that Respondents would be eligible for reasonable attorney fees for work performed after the effective date of the Coble Act. *Id.* at 13. Complainants filed exceptions to the I.D.R., and Respondents replied.

II. DISCUSSION

At this stage of the proceedings, the main issues are: (1) whether Respondents violated § 41106(2) by imposing a monthly \$8.00 per-space access fee on Complainants while exempting taxis from per-space or per-trip fees; (2) whether Respondents violated § 41106(2) by imposing a monthly \$8.00 per-space access fee on Complainants while exempting certain limousines from per-space or per-trip fees; (3) whether Respondents violated § 41106(2) by charging hotel shuttle buses (and others) less than the applicable per-trip access fee while consistently charging Complainants per-space fees; and (4) whether Respondents violated § 41106(2) by failing to

collect the applicable per-trip access fee from certain limousines while consistently charging Complainants per-space access fees.

Complainants have established that Respondent The Board of Trustees of the Galveston Wharves violated § 41106(2) with respect to limousines (issues (2) and (4)) but have not proved violations relating to taxis and other vehicles (issues (1) and (3)).⁸ Consequently, the Commission reverses the I.D.R. as to the former and remands for further proceedings on reparations. The other issues raised by the parties are either unchallenged or waived.

A. Legal Standards

When the Commission reviews exceptions to an ALJ's Initial Decision, it has "all the powers which it would have in making the initial decision." 46 C.F.R. § 502.227(a)(6). The Commission therefore reviews the ALJ's I.D.R. *de novo*. See *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, No. 16-16, 2020 FMC LEXIS 216, at *5 (FMC Oct. 29, 2020). The standard of proof is preponderance of the evidence – Complainants must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transp. Logistics, Inc.*, No. 15-04, 2019 FMC LEXIS 44, at *10 (FMC July 16, 2019).

Under the Administrative Procedure Act (APA) and Commission precedent, Complainants have the burden of proving Respondents violated the Shipping Act, and this burden of proof does not shift. 5 U.S.C. § 556(d); *DSW Int'l Inc. v. Commonwealth Shipping, Inc.*, 32 S.R.R. 763, 765 (FMC 2012). The Commission nonetheless applies a burden-shifting framework in unreasonable preference cases.

⁸ Although this Order generally refers to Respondents in the plural, the ALJ dismissed the claims against Respondent Galveston Port Facilities Corporation. I.D.R. at 35. Neither party challenges that dismissal, which the Commission affirms.

Section 41106(2) of Title 46 provides that a “marine terminal operator may not . . . give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person.” To establish a claim, a complainant must show that: (1) the complainant and another person or entity are similarly situated or in a competitive relationship, (2) the complainant and the other person or entity were accorded different treatment by the respondent, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury. *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, 27 S.R.R. 1251, 1270, 1997 FMC LEXIS 32, at *90 (FMC 1997). “The complainant has the burden of proving that it was subjected to different treatment and was injured as a result and the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.” *Id.*

To reconcile the APA’s burden of proof with the Commission’s burden-shifting approach, it is important to specify the burdens at issue. A complainant’s burden of proof under the APA, which does not shift, is the burden of persuasion. *Maier Terminals, LLC v. The Port Auth. of N.Y. & N.J.*, No. 08-03, 2014 FMC LEXIS 35, at *41-*43 (FMC Dec. 17, 2014);⁹ *Director, Office of Workers’ Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994) (holding that “the APA’s unadorned reference to ‘burden of proof’” refers to the burden of persuasion). The burden of persuasion is the “notion that if the evidence is evenly balanced, the party that bears the burden of persuasion must lose.” *Greenwich Collieries*, 512 U.S. at 272.

The burden that shifts in an unreasonable preference case is the burden of production, *Maier*, 2014 FMC LEXIS at *42, which is “a party’s obligation to come forward with evidence to support its

⁹ The *Maier* decision was remanded by the D.C. Circuit in 2016 on other grounds, but it was not vacated. *Maier Terminals, LLC v. Fed. Mar. Comm’n*, 816 F.3d 888 (D.C. Cir. 2016).

claim,” *Greenwich Collieries*, 512 U.S. at 272; *id.* at 274 (describing burden of production as burden “of going forward with evidence”). Consequently, although a respondent bears the burden of pointing to evidence justifying its conduct, a complaint bears the ultimate burden of proving that the respondent acted unreasonably. *Maier*, 2014 FMC LEXIS at *42; *Petchem, Inc. v. Fed. Mar. Comm’n*, 853 F.2d 958, (D.C. Cir. 1988) (affirming burden-shifting approach in a Shipping Act case). In other words, for the third element of a § 41106(2) claim, a respondent must point to some evidence about why it treated a complainant differently than someone else. If the respondent adduces such evidence, the complainant must then show that the justification is insufficient. For instance, a complainant might dispute the evidence, show that it is outweighed by contrary evidence, or argue that the proffered justification is not of the sort that the Commission legally may consider, i.e., it is not a legitimate factor.

In their exceptions, Complainants assert that the ALJ erroneously placed the burden of proof on them when the ALJ stated that “Complainants have not proved that the unequal treatment is not justified by differences in transportation factors.” Complainants’ Exc. to I.D.R. at 5, 8, 26-28. According to Complainants, this contradicts the D.C. Circuit Opinion and *Ceres*, 27 S.R.R. at 1270-71. Complainants contend that the burden to justify unequal treatment is on Respondents. Respondents counter that the ALJ appropriately distinguished between the burden of persuasion and burden of production and correctly placed the ultimate burden of establishing a violation on Complainants.

The ALJ did not err in applying the burden of proof. Although the ALJ stated that Complainants were required to show that Respondents’ unequal treatment of them was not justified by differences in transportation factors, the ALJ distinguished between the burden of persuasion, which stays on Complainants, and the burden of production, which shifted to Respondents to justify their conduct. I.D.R. at 38. The ALJ relied on *Maier*, which clarified the burden shifting framework from *Ceres*. *Id.* The D.C. Circuit did not

foreclose this approach. The court stated that if the complaining party establishes three of the four § 41106(2) elements, “the respondent marine terminal operator has the burden of justifying the differential treatment based on legitimate transportation factors.” 889 F.3d at 796 (citing *Ceres*, 27 S.R.R. 1251 (FMC 1997)). The court did not say whether this burden was one of persuasion or production, and given this ambiguity, the ALJ correctly followed Commission precedent regarding the burden of proof.

B. Exceptions Regarding ALJ’s Findings and Other Statements

In addition to their substantive arguments Complainants take exception to thirty-two specific statements in the I.D.R. Most of these exceptions dispute the ALJ’s characterization of Complainants’ claims and need not be discussed in detail.¹⁰ Complainants also dispute Findings of Fact No. 26A, 27, 80, and 84. The challenges to FF26A, 27, and 80 are unpersuasive. Regarding FF26A, the ALJ did not suggest that taxis were common carriers under the Shipping Act. FF27, which involved how much EZ Cruise saved by being charged per-space fees instead of per -trip fees, was based on Respondents’ proposed findings of fact, and Complainants did not dispute the dollar amounts in the proposed finding, and thus their attempt to dispute the amount now is untimely. I.D.R. at 28 n.9. Nor is the challenge to FF80 well-taken. The ALJ correctly pointed out that Note D of the various tariffs did not provide a mechanism to determine billable parking spaces for hotels providing parking to cruise passengers. Note D does not define “billable parking spaces” or explain how one might distinguish billable from non-billable parking spaces.

¹⁰ Specifically, Exception Nos. 1, 2, 6, 7, 13, 14, 15, 23, 24, 26, 28, 29, 30, 31, and 32 fault the ALJ for not fully reflecting the scope of Complainants’ arguments. Exception Nos. 3 and 12 involve the burden of proof, which is discussed above. Exception Nos. 4, 5, and 21 involve limousines, which are discussed below. And Exception Nos. 13, 14, 16, 17, 18, 20, 22, 23, 24, 25, 26, and 29 relate to claims and arguments that Complainants forfeited and waived, and thus these exceptions do not require specific Commission attention.

Complainants further except to FF 84, which provides that “[w]ithout a change to City of Galveston taxicab regulations, an access fee imposed on taxicabs by the Port of Galveston could not be passed on to passengers.” Complainants assert that this statement is overbroad because City of Galveston regulations would not apply to taxis licensed in other municipalities. Respondents counter that Complainants did not provide evidence on how often non-Galveston taxis access the cruise terminal and that “if Respondents have no control over the regulation of City of Galveston taxicabs, they surely do not have control over regulating taxicabs from other municipalities.” There does not appear to be anything in the record about the ability of taxis regulated by other municipalities to pass-on per-trip fees. Consequently, FF 84 is overbroad.

The ALJ made eighty-four Findings of Fact in the I.D.R., all of which are supported by the record except for FF84, and the Commission adopts them. Regarding FF84, the Commission adopts it as amended to state: “Without a change to City of Galveston taxicab regulations, an access fee imposed on Galveston taxicabs by the Port of Galveston could not be passed on to passengers.”

C. Claims Based on Tariff Treatment of Taxis

Complainants argue that Respondents violated § 41106(2) by charging Complainants monthly per-space fees under the Tariffs while charging taxis an annual decal fee, i.e., “exempting” taxis from per-space and per-trip fees.¹¹ This difference in treatment was reflected in the 2006 Tariff, 2007 Tariff, July 2014 Tariff, and October 2014 Tariff (insofar as it rescinded part of the July 2014 Tariff and maintained the \$8.00 per-space fee regime through

¹¹ The ALJ and Complainants state that taxis were not charged anything under the Tariffs. I.D.R. at 47; Complainants’ Exc. to I.D.R. at 23 (stating that Respondents gave taxis “free access” to the cruise terminal). But the ALJ found, and Complainants do not dispute, that taxis were subject to annual decal fees of \$7.50 per vehicle. This discrepancy does not, however, appear to be relevant to the merits of Complainants’ claims.

September 2014). Complainants also argue that Respondents violated § 41106(2) because the October 2014 Tariff, which eliminated the monthly per-space fee going forward, *still* treats taxis more favorably than Complainants; taxis are exempt from access fees whereas Complainants (and others accessing the cruise terminal) are charged per-trip fees under the October 2014 Tariff.

The ALJ found in Complainants' favor with respect to three of the four § 41106(2) elements,¹² and the Complainants do not challenge these findings, which are supported by the record.¹³ Complainants are not required to establish the first element. I.D.R. at 37 (citing FMC Order, 2017 FMC LEXIS 1 at *20-*24). Complainants were also treated differently than taxis under the Tariffs. Id. at 38. And, given the D.C. Circuit opinion, Complainants established that they were injured by Respondents' treatment of them vis-à-vis taxis. Id. at 47 ("When compared to taxicabs, however, the evidence supports a finding that Complainants were charged more – Complainants were charged for access while taxicabs were not charged anything at all."); D.C. Circuit Opinion, 889 F.3d at 797.

The issue, then, is whether Respondents have met their burden of pointing to evidence of legitimate transportation factors justifying their treatment of taxis compared to Complainants, and, if so, whether Complainants have established that the treatment is nonetheless unjustified. The ALJ found that Complainants failed to meet their burden on this element. The ALJ pointed out that Respondents provided evidence that they relied on taxis to move passengers effectively, getting sufficient taxi service had been a problem at the cruise terminal, and charging access fees on taxis would reduce the supply of taxis. I.D.R. at 44-46.

¹² These elements are often referred to as the "*Ceres I*" elements after *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, 27 S.R.R. 1251, 1270, 1997 FMC LEXIS 32 (FMC 1997).

¹³ Additionally, the Board is a marine terminal operator subject to § 41106(2).

In their exceptions, Complainants maintain that Respondents did not justify the difference in treatment between Complainants and taxis by legitimate transportation factors. First, Complainants argue that the justifications cited by the ALJ were not “legitimate transportation factors.” Complainants’ Exc. to I.D.R. at 33. Second, they argue that Respondents have not justified exempting all taxis from per-space or per-trip fees when the evidence shows that it is City of Galveston taxis who cannot pass on these fees to customers. Third, Complainants argue that Respondents’ statement that taxis “move a significant number of passengers” is (a) illogical because shuttle buses move more passengers than taxis, and (b) contradicted by Respondents’ statement in their brief that “a relatively small number of cruise passengers arrive by” taxi. *Id.* at 34. Respondents maintain that the ALJ correctly decided this issue, and focus on Complainants’ non-local taxis argument, asserting that “[i]f Respondents do not have control over the regulation of rates for local taxicabs, how could they have control over the regulation of rates for non-local taxicabs?” Respondents’ Reply Exc. to I.D.R. at 34-35.

The ALJ did not err in dismissing Complainants’ § 41106(2) claim with respect to taxis. Respondents produced evidence demonstrating that their decision to treat taxis differently than other entities accessing the cruise terminal (including Complainants) was justified by legitimate transportation factors. Legitimate factors for § 41106(2) purposes include relative costs of services and profit, the convenience of the public, and the need to assure adequate and consistent service to a port. *Maier Terminals, LLC v. The Port Auth. of N.Y. & N.J.*, 2016 FMC LEXIS 61, at *9-*11 (FMC Oct. 26, 2016) (citations omitted). The Commission’s consideration of these factors is informed by the deference it shows to public port authorities. *Id.* at *10.

Respondents introduced evidence that to retain large cruise ships, they need to move passengers in and out of the cruise terminal safely and efficiently. Respondents’ App. at 2076 (Mierzwa Aff. ¶¶ 36-40). The Board’s Port Director (and former cruise terminal

manager) averred that although cruise passengers have several transportation options, including Complainants' lots, "to move the passengers effectively we have to rely on taxicab services." *Id.* ¶¶ 41, 44, 47. The evidence also showed that Respondents have had difficulty maintaining sufficient taxi service at the cruise terminal. Respondents' App. at 1943 (2/27/2006 Meeting Minutes); *id.* at 2077, 2078 (Mierzwa Aff. ¶¶ 45, 47). Respondents concluded that "requiring taxicab companies to also pay Access Fees, or to collect and then remit Access Fees from passengers would be an additional disincentive to taxicabs servicing the Cruise Terminal and further reduce an already inadequate supply of taxicabs." *Id.* at 2077 (Mierzwa Aff. ¶ 45). Respondents pointed out that one problem with charging access fees on taxis was that Respondents could not do so unilaterally, as taxi rates and charges are set by the City of Galveston. *Id.* (Mierzwa Aff. ¶ 46). Additionally, Respondents produced evidence that taxi company representatives agreed that imposing access fees on taxis would reduce service to the cruise terminal. *Id.* at 2077-78 (Mierzwa Aff. ¶ 47); *Id.* at 2627 (Benham Aff. ¶ 5) ("However, if my company was charged an access fee, we would not be able to pass that fee onto our customers. Therefore, we would not economically be able to provide transportation to cruise terminal customers as we would lose money rather than make a profit."). There is no evidence that Complainants or others accessing the cruise terminal presented similar concerns.

Complainants have not rebutted this evidence or otherwise demonstrated that Respondents' decision to treat taxis differently than Complainants under the Tariffs was unjustified. Contrary to Complainants' suggestion, ensuring adequate and consistent taxi service to the cruise terminal is a legitimate transportation factor that justified Respondents' treatment of taxis as compared to others. *Petchem, Inc. v. Canaveral Port Auth.*, 23 S.R.R. 974, 990 (FMC 1986) (holding that exclusive terminal arrangements could be justified "to provide adequate and consistent service to a port's carriers or shippers, to ensure attractive prices for such services and generally to advance the port's economic well-being."); *id.* at 992.

Further, Respondents' conclusion that they needed taxis to move passengers safely and efficiently in and out of the cruise terminal and to prevent traffic congestion are the sort of decisions to which the Commission defers. *Petchem*, 23 S.R.R. at 993. Complainants' argument that Respondents fail to justify exempting all taxis from per-trip or per-space fees because the evidence showed only that local (Galveston) taxis could not pass-on access fees is unpersuasive. It was not unreasonable for Respondents to focus on Galveston taxis when setting access fees for a Galveston cruise terminal. Further, Respondents did not justify the treatment of taxis simply because of the need to move "a significant number of passengers" through the cruise terminal. Complainants' Exc. to I.D.R. at 34. Rather, Respondents produced evidence that they needed taxis particularly and had trouble getting enough of them at the cruise terminal. Respondents' App. at 2077 (Mierzwa Aff. ¶¶ 44; *id.* at 1943 (2/27/06 Meeting Minutes). Finally, there is no contradiction between Respondents' statement in their brief that a "relatively small number of cruise passengers arrive" by taxi, Respondents' Corrected. Br. at 12 (emphasis added), and their statement that without taxis, Respondents would lack the means to move "a significant number of passengers efficiently out of the terminal" on cruise days, *id.* at 36 (emphasis added).

D. Claims Based on Tariff Treatment of Limousines

Complainants' claims about the treatment of limousines under the Tariffs mirror their claims regarding taxis. Namely, Complainants argue that Respondents unreasonably preferred limousines or unreasonably prejudiced Complainants by charging Complainants monthly per-space fees under the Tariff while "exempting" limousines from per-space or per trip fees in lieu of an annual decal fee. This difference in treatment is reflected in the 2006 Tariff and the 2007 Tariff, although in the 2007 Tariff, only limousines with eight or fewer passengers were exempt from per-trip fees. Limousines with greater capacities were subject to per-trip fees under the 2007 Tariff. The July 2014 Tariff and October 2014 Tariff subject all limousines to per-trip fees.

The ALJ found in Complainants' favor with respect to three of the four § 41106(2) elements regarding limousines. As with taxis, and consistent with the Commission's prior analysis, the ALJ did not address the first element. I.D.R. at 37. The ALJ also determined that Complainants met their burden to show that the Tariffs treated Complainants differently than limousines. *Id.* at 38. As for the fourth element, the ALJ determined that assuming Respondents' treatment of limousines as compared to Complainants was unjustified, "Complainants would be disadvantaged or prejudiced and entitled to a reparation award for their actual injuries." I.D.R. at 47. Complainants do not challenge these findings, and they are supported by the record. *See also* D.C. Circuit Opinion, 889 F.3d at 797.

The ALJ found that Complainants failed, however, to meet their burden on the third element. I.D.R. at 46. The ALJ first determined that it was reasonable for Respondents to charge limousines a per-trip access fee instead of a per-space fee because taxis and limousines do not have parking facilities. The ALJ then discussed taxis and then mentioned limousines in the conclusion of the taxi analysis. *Id.*

Complainants argue on appeal that this finding as to limousines was unsupported and unexplained. According to Complainants, limousines do not evoke the same alleged transportation factors that justified Respondents' treatment of taxis, and the ALJ failed to explain why the evidence and analysis regarding taxis applied to limousines. Complainants further argue that Respondents failed to produce any evidence justifying their treatment of limousines. Complainants also argue that Respondents have not and cannot justify exempting all limousines from per-trip fees in 2006 Tariff based on legitimate transportation factors when in the 2007 Tariff they only exempted certain limousines from per-trip fees.

Respondents counter that the record is "full of argument and evidence" justifying the differential treatment between

Complainants and limousines. Respondents' Reply Exc. to I.D.R. at 35. Respondents rely on the ALJ's finding that limousine companies do not have parking spaces like Complainants. *Id.* at 36. Additionally, they argue that "the record is clear as to the sporadic nature of limousines accessing the Cruise Terminal, which causes problems when attempting to charge and collect Access Fees from individual limousine operators." *Id.*; *see also id.* at 37, 40.

The ALJ did not sufficiently explain his analysis regarding limousines. The only limousine-specific finding was that it was reasonable for Respondents to charge limousines per-trip fees instead of per-space fees. But that finding is not relevant to the issue Complainants raised, which is, why Respondents exempted some limousines from any access fees. The ALJ also erred by lumping limousines in with taxis. The I.D.R. does not explain how the factors that justified Respondents' treatment of taxis applied to limousines. As noted above, Respondents provided evidence that taxis were necessary for safe and efficient passenger transport and that imposing access fees would result in insufficient taxi service. But there is no evidence that limousines were similarly vital to the cruise terminal or that imposing access fees on limousines would reduce limousine service to the point of impeding terminal operations. Respondents concede that limousines only sporadically access the cruise terminal. Respondents' Reply Exc. to I.D.R. at 37. Moreover, as Complainants point out, Respondents eventually did impose access fees on larger limousines, which undermines the argument that the limousine exemption was necessary to secure limousine service. And Respondents' Tariffs consistently treated taxis and limousines differently and defined them differently.¹⁴

¹⁴ Under the Tariffs, a limousine is a "motor vehicle operated for commercial purposes that shall not have a taximeter, which is a luxury sedan with a manufacturer's rated seating capacity of not more than fifteen(15) passengers that is used for the transportation of people." Compl. Ex. A. A taxi is a "chauffeured motor vehicle[s], but not including limousines, that [are] equipped with a taximeter, and that has a typical rated passenger capacity of eight (8) passengers or less, used for the transportation of passengers for hire over the public streets of the city that typically operates on irregular routes, irregular schedules, and a call

Reviewing the issue *de novo*, the Commission finds that Complainants have established that Respondents' treatment of Complainants as compared to limousines was unreasonable. This is primarily because Respondents failed to meet their burden of producing evidence justifying the different treatment. Respondents did not address the "justification" element of § 41106(2) with respect to limousines in their 2015 brief. They argued that "differences in operations and transportation factors justify the exemption of *taxicabs*," but they make no similar argument with respect to limousines. Respondents' Corrected Br. at 35-37 (emphasis added).

At most, Respondents identified several differences between limousines and parking lots to show that they are not similarly situated or in a competitive relationship. Respondents provided evidence that: (1) limousines are not in the parking lot business; (2) the federal government classifies limousines and parking lots as different types of businesses; (3) cruise passengers are an incidental part of a limousine's customer base; (4) a relatively small number of cruise passengers arrive by limousines; (5) limousines access the cruise terminal sporadically from a few times a year to two times a month; (6) limousines are typically from out of town; (7) it is difficult to collect access fees from limousines; and (8) a number of limousine companies have refused to service the cruise terminal if they must pay a fee. Respondents' Corrected Br. at 12, 13-14, 14-15, 23 n.6, 29-30; *see also* Respondents' App. at 2086 (Murchison Aff. ¶ 25 ("Historically, it has been difficult to get limousines to pay these fees. Attempting collection efforts for such small fees has not been economically feasible"))).

The problem is that Respondents have not shown how these facts relate to their decision to exempt certain limousines from per-trip access fees or that these facts were the bases for their decision.

and demand basis, and irrespective of whether or not the operations extend beyond the city limits, at rates for distance traveled, or for waiting time, or for both, or at rates per hour, per day, per week, or per month and such vehicle is routed under the direction of the passenger hiring the same." *Id.*

Differences between limousines and parking lots might be relevant to the first § 41106(2) element (which is inapplicable here), but these differences alone do not give the Commission any basis to assess the reasonableness of Respondents' limousine exemption. That limousines access the cruise terminal sporadically or are difficult to collect fees from *might* constitute legitimate transportation factors that *could* justify a port's decision to treat limousines differently than other entities. But Respondents do not make that argument, and there is no evidence that these were the reasons why Respondents exempted limousines from access fees. That is, Respondents' evidence does not show that they exempted some limousines from access fees *because* collection efforts are not economically feasible. Rather, Respondents suggest that the difficulty of collection might be why they failed to charge other limousines that were subject to per-trip fees. Respondents' App. at 2086-86 (Murchison Aff. ¶¶ 25-27).

The closest Respondents get to a justification is the fact that "a number of [of limousine companies] refus[ed] to service the terminal if they must pay a fee." *Id.* at 23 n.6. But this statement relates to the conduct of limousine companies in 2014, and thus cannot serve as justification for the Tariffs' treatment of limousines in the 2006 Tariff and 2007 Tariff. Respondents' App. at 2087 (Murchison Aff. ¶ 27). Respondents also fail to link this fact to any transportation factor. With taxis, there is evidence that Respondents exempted taxis from access fees because they needed taxis and if they charged them access fees, inadequate taxi service would result. With limousines, there is no evidence that Respondents needed them in the same way and that charging fees would reduce limousine service to an insufficient level. And there is no evidence that Respondents considered taxis and limousines to be equivalent.

In sum, Respondents did not provide evidence that they exempted certain limousines from access fees based on legitimate transportation factors. Post-hoc rationalizations are insufficient. See *Ceres*, 1997 FMC LEXIS 32 at 101 n.52; "50 Mile Container Rules" *Implementation by Ocean Common Carriers Serving U.S.*

Atl. & Gulf Coast Ports, No. 81-11, 1987 FMC LEXIS 20, at *210-*211 (FMC Aug. 3, 1987) (expressing skepticism of “post hoc rationalization”). To be clear, a port’s burden to justify decisions involving terminal leases or fees like those at issue here is not a heavy one – as noted above, the Commission shows deference to public port authorities and will usually not second guess their reasoning. But a port authority must provide its reasoning before the any deference can be shown. The Commission therefore reverses the ALJ and finds that Respondent The Board of Trustees of the Galveston Wharves violated 46 U.S.C. § 41106(2).

E. Claims Based on Selective Enforcement of Tariff

Complainants also except to the I.D.R. on the grounds that the ALJ failed adequately to address their arguments that Respondents violated § 41106(2) by selectively enforcing the Tariffs. *E.g.*, Complainants’ Exc. to I.D.R. at 22,23-25, 32-33, 36, 40, 42. There are two types of selective enforcement arguments. First, Complainants argue that although Respondents consistently charged Complainants the full amount required by the Tariffs, Respondents routinely charged others (such as shuttle buses) \$10 per-trip when they should have been charged a higher amount based on the vehicle capacity. Second, Complainants argue that while they were charged the full amount required by the Tariffs, Respondents routinely failed to collect any access fees from limousines that were subject to per-trip fees under the 2007 Tariff and July 2014 Tariff. Respondents contend that the ALJ already addressed the selective enforcement arguments and that the arguments are unfounded.

The ALJ did not address these arguments. Consequently, the Commission reviews them *de novo*. The first selective enforcement claim fails because Complainants have not proved they were injured. Complainants have, however, proved their second selective enforcement claim.

1. Vehicles Charged \$10 Per-Trip in Violation of Tariff

Complainants argue that while Respondents consistently charged them the monthly per-space fees in the Tariffs, Respondents did not collect the full amount owed by shuttle buses and other vehicles based on their capacity. The Commission has already determined that the first § 41106(2) element – showing that Complainants and others were similarly situated or in a competitive relationship – is not required in this case. FMC Order, 2017 FMC LEXIS 1 at *20-*24.

As for the second element, Complainants must show that Respondents treated them differently than another person or entity. Complainants point out that they were consistently charged full per-space access fees. Complainants' Exc. to I.D.R. at 42; Complainants' Reply Br. at 30 (citing Complainants' App. at 58-277 (invoices)). In contrast, Complainants contend that Respondents charged vehicles \$10 per trip when fees as high as \$60 per trip should have been charged. Complainants' Exc. to I.D.R. at 13, 23 n.2, 29, 32, 42. As evidence, Complainants rely on a footnote in Respondents' 2015 brief as a concession. Respondents stated:

Despite the change [in the 2007 Tariff], the Port did not receive the benefit of this change until after the 2013-2014 review of cruise terminal access issues by Port staff (discussed below) disclosed an inadvertent failure to collect the higher amounts charged for larger buses and shuttle vans required by the amended Tariff. Specifically, the employee responsible for counting vehicles accessing the terminal apparently was not aware of the higher rates, and charged all such vehicles a \$10 access fee per trip regardless of size – in violation of the Tariff. As a result, some commercial users paying access fees on a per-trip basis were charged less than they should have been charged. This oversight was

corrected in August 2014, when a new employee took over the position.

Respondents' Corrected Br. at 21 n.5. The affidavit of Respondents' Director of Finance confirms these facts. Respondents' App. at 2086 (Murchison Aff. ¶ 23).

In their reply to the exceptions, Respondents acknowledge this footnote, but nonetheless assert that the evidence shows there was no selective enforcement. Respondents' Reply Exc. to I.D.R. at 21, 40. Respondents rely on the affidavit of their expert witness, an accountant. Respondents' Reply Exc. to I.D.R. at 21 (citing Respondents' App. at 2767-69 (Compton Aff.)). The cited pages of the affidavit do not, however, address Complainants' selective enforcement claims.

The evidence shows that Respondents consistently charged Complainants the monthly per-space access fees set forth in the Tariffs, but that Respondents did not charge others in accordance with the Tariffs. Instead, Respondents charged vehicles \$10 per trip regardless of capacity.¹⁵ This disparate treatment began no earlier than December 17, 2007, the effective date of the 2007 Tariff, and appears to have ended on July 31, 2014. FF 50 (noting date of 2007 tariff amendment); Respondents' Corrected Br. at 21 n.5 (stating that the "oversight" was corrected in August 2014).¹⁶ Complainants have thus met their burden to show the second element of § 41106(2).

¹⁵ The Shipping Act requires common carriers to abide by the terms of their published tariffs. 46 U.S.C. § 41104(a)(2). This provision does not apply to marine terminal operators and their schedules.

¹⁶ There is no evidence regarding when in August 2014 Respondents began enforcing the greater-than-\$10 per-trip fees. Given Complainants' burden of proof, the Commission assumes that the Respondents enforced the fees as of August 1, 2014.

Complainants have also met their burden of showing that Respondents' selective enforcement of the Tariffs with respect to other shuttle buses was unreasonable. Respondents bear the initial burden of producing evidence justifying the differential treatment of Complainants. Respondents have not met that burden – they do not attempt to justify their conduct in response to Complainants' exceptions. The only evidence in the record is the Murchison affidavit and Respondents' acknowledgment in their 2015 brief. Mr. Murchison, Respondents' Director of Finance, explains that Respondents failed to collect full access fees from shuttle buses because the "employee responsible for counting access trips and submitting charges to my staff charged all vehicles at the \$10/trip rate regardless of passenger capacity." Respondents' App. at 2086 (Murchison Aff. ¶ 23); *id.* ("She simply did her job correctly."); Respondents' Corrected Br. at 21 n.5.

Complainants persuasively argue that this justification is not cognizable under § 41106(2). Complainants' Exc. to I.D.R. at 43 (arguing that "it is not within the shelter of a discretionary business decision for a marine terminal operator to routinely enforce its published tariff against only certain port users, while giving advantageous, reduced, and/or free access to other port users"). The Commission considers several factors in the unreasonable preference analysis. *Maher Terminals*, 2016 FMC LEXIS 61 at *9-*11. None of these factors apply here, and the parties cite no authority for the proposition that a marine terminal operator's mistake is a legitimate factor that justifies unequal treatment. And while the Commission defers to a public port authority's decisions based on its familiarity with local business circumstances, there was no decision here to defer to.

This does not mean that every mistake by a marine terminal operator employee that results in some terminal users being treated differently than others is necessarily a § 41106(2) violation. The standard is reasonableness. Here, however, Respondents' failure to apply the tariff endured for years. Moreover, even after Respondents discovered the problem as part of a study, they did not correct it for

several months. *See* Respondents’ App. at 2084, 2086 (Murchison Aff. ¶¶ 13, 23).¹⁷

Complainants’ selective enforcement claim with respect to shuttle buses nonetheless fails on the fourth § 41106(2) element because Complainants have not established that they were injured by being charged \$8.00 per-space access fees when shuttle buses and others only paid \$10 per-trip (when they should have paid more under the Tariffs). The ALJ found, and the Commission affirmed, that Complainants were not injured by paying \$8.00 per-space instead of \$10 per-trip. FMC Order, 2017 FMC LEXIS 1 at *34-*36. As explained below, Complainants never appealed that finding and waived any challenge to it at oral argument. Nor is this conclusion inconsistent with the D.C. Circuit Opinion. The court found that Complainants “were plainly injured when they were charged more than other commercial passenger vehicles.” 889 F.3d at 797. But Complainants were not charged *more* than shuttle buses who paid \$10 per-trip due to a mistake. The court was comparing Complainants to taxis and limousines. *Id.* at 796 (“The Port charged Petitioners’ shuttle buses more than the Port charged taxis and limos. Petitioners challenge that differential treatment.”).

Complainants also argue unpersuasively that Respondents’ selective enforcement of the Tariffs against shuttle buses caused Complainants to “subsidize” other commercial passenger vehicles’ use of the cruise terminal. But Complainants paid access fees at the rate of \$8.00 per-space from 2006 through October 2014. This fee did not increase when, beginning in 2007, Respondents failed to collect the correct amounts from shuttle buses. There is also no evidence that Respondents set Complainants’ per-space fees at \$8.00 to allow Respondents to later misapply the Tariffs against shuttle buses and charge them only \$10 per-trip regardless of

¹⁷ The employee’s error was discovered by a group studying access fees in 2013-2014. Respondents’ App. at 2085 (Murchison Aff. ¶ 23). The study was apparently complete as of May 2014, when the group recommended tariff changes. *Id.* at 2084 (Murchison Aff. ¶ 13). But the tariff-enforcement error was not resolved until August 2014. Respondents’ Corrected Br. at 21 n.5.

capacity. In other words, Complainants have not shown that they paid more because of Respondents' error, or that they would have benefited by having the same error applied to them.

2. Limousines Charged Nothing in Violation of
Tariff

Complainants' second "selective enforcement" claim is that while Respondents consistently charged them the monthly per-space fee in the Tariffs, Respondents did not charge limousines the per-trip fees set forth in the 2007 Tariff and July 2014 Tariff. Complainants' Exc. to I.D.R. at 36 (arguing that "even limousines that should have been charged Access Fees were granted free access to the Cruise Terminal"). The first § 41106(2) element is not required in this case. FMC Order, 2017 FMC LEXIS 1 at *20-*24.

Complainants have established the second element: different treatment. Respondents consistently charged Complainants full per-space access fees. Complainants' Exc. to I.D.R. at 42; Complainants' Reply Br. at 30 (citing Complainants' App. at 58-277 (invoices)). Beginning in 2008, Respondents did not charge limousines the applicable per-trip fees. According to Respondents' 2015 brief:

The same study also determined that limousines were not being charged as well. Prior to Hurricane Ike's landfall on September 13, 2008, limousines were charged as per the tariff. As noted even by Complainants access by limousines is extremely small in number compared to other users (297 in 2014 when compared to the unlimited trips made by Complainants). Given past history, the loss of revenue was extremely small. However, as part of this 2013-2014 staff study, the Wharves resolved to enforce access rates on limousines after replacing the person at the entrance gate in August of 2014. Unfortunately, efforts to collect against these

companies persist, with a number refusing to service the terminal if they must pay a fee. Affidavit of Mark Murchison at § 25 (Resp. App. Tab 77 at p. 2086). The matter is still under review.

Respondents' Corrected Br. at 23 n.6 (emphasis added). Mr. Murchison stated in his affidavit that limousines access the cruise terminal irregularly and much less often than local users. Respondents' App. at 2086 (Murchison Aff. ¶ 24). Historically, he stated, "it has been difficult to get limousines to pay these fees. Attempting collection efforts for such small fees has not been economically feasible." *Id.* (Murchison Aff. ¶ 25); *id.* at 2087 (Murchison Aff. ¶ 27) (describing collection difficulties in 2014). As to why Respondents stopped collecting per-trip fees, Mr. Murchison explained that "[t]he employee at the gate stopped keeping track of limousines and the billing stopped." *Id.* at 2087 (Murchison Aff. ¶ 26).

Complainants have also met their burden of persuasion on the third § 41106(2) element because Respondents have not given a legitimate reason for treating limousines differently than Complainants from 2008 to August 2014. Respondents failed to enforce the Tariffs against limousines for six years due to employee error – the employee stopped keeping track of limousines. Respondents' App. at 2087 (Murchison Aff. ¶ 26). This is not a reasonable basis for a marine terminal operator to apply its terminal schedule unevenly under the factors typically considered by the Commission. 2016 FMC LEXIS 61 at *9-*11. Nor is this oversight the type of decision the Commission can defer to. To adopt Respondents' view would effectively allow a marine terminal operator to enforce its schedule against one person but not another so long as the marine terminal operator could show that recouping the uncollected fees would be expensive or difficult. When coupled with the duration of the disparate treatment, Complainants have demonstrated that Respondents' conduct was not reasonable.

Finally, Complainants have proved injury. While their

subsidization argument does not have merit, Complainants paid more (\$8.00 monthly per-space fees) than did limousines against whom the Tariffs were not enforced (\$0). The D.C. Circuit has made clear that this suffices to meet the injury element of § 41106(2). D.C. Circuit Opinion, 889 F.3d at 797. Consequently, Complainants have proved that Respondent The Board of Trustees of the Galveston Wharves violated the Shipping Act. As explained below, this violation largely overlaps with the other violation involving limousines, the only practical effect being one month's worth of reparations (July 2014) about which the evidence is unclear.

F. Claims Implicating Waiver and Related Issues

1. Claims Regarding Per-Trip Fees

In the 2015 Initial Decision, the ALJ found that Complainants had not proved a § 41106(2) violation because, among other reasons, they had not met their burden of demonstrating that they were injured by being charged a monthly \$8.00 per-space fee instead of being charged \$10.00 per trip like hotel shuttle buses. I.D., 2015 FMC LEXIS 44 at *79, *82-*121.¹⁸ The Commission affirmed the ALJ's finding, concluding that "Complainants failed to demonstrate that they suffered any injury resulting from paying the \$8.00 per space per month fee as opposed to per trip fees." FMC Order, 2017 FMC LEXIS 1 at *31-*37.

Complainants did not appeal that aspect of the FMC Order and did not challenge the Commission's analysis of the \$10 per-trip access fee vis-à-vis the monthly \$8.00 per space access fee. Instead, they argued on appeal that the Commission should have also

¹⁸ The 2007 Tariff and subsequent Tariffs contain per-trip fees higher than \$10 per-trip. It does not appear, however, that Complainants ever argued that they were unreasonably prejudiced by not being charged these higher per-trip fees. Moreover, given the finding that Complainants were not injured by paying \$8.00 per-space compared to \$10 per-trip, which Complainants declined to challenge, it follows that they were not injured when they avoided paying greater-than-\$10 per-trip fees.

compared the per-space fee to the Tariffs' treatment of taxis and limousines, which were exempt from per-space or per-trip fees. Br. of Pet'rs at 12, 13, 21, 25, *Santa Fe Discount Cruise Parking v. Fed. Mar. Comm'n*, No. 17-1089 (D.C. Cir. July 31, 2017). Further, Complainants stated at oral argument that they were not appealing the Commission's dismissal of their § 41106(2) claims with respect to the per-trip access fees. Audio Tr. of Oral Arg. at 10:20-10:51, 25:52-26:21, *Santa Fe Discount Cruise Parking v. Fed. Mar. Comm'n*, No. 17-1089 (D.C. Cir. Mar. 12, 2018).

On remand, the ALJ nonetheless addressed Complainants' claims that the per-space fee was unreasonably prejudicial as compared to the per-trip fees in the Tariffs. The ALJ not only reiterated the prior finding that Complainants were not injured by the difference, but the ALJ also found that Complainants had not shown the treatment of hotel shuttles versus Complainants was unjustified. I.D.R. at 40-43, 47, 49-63. Complainants argue that the ALJ erred in both respects.

The Commission declines to consider these arguments, however, because Complainants forfeited the right to challenge the Commission's injury determination regarding per-trip fees compared to per-space fees by not raising the challenge in their appeal to the D.C. Circuit. *See Al-Tamimi v. Adelson*, 916 F.3d 1, 6 (D.C. Cir. 2019) (holding that a party forfeits an argument not raised in its briefs). Complainants also waived the issue by representing to the court that they were not appealing that aspect of the FMC Order. *See generally Wood v. Milyard*, 566 U.S. 463, 470 n. 4 (2012) ("A waived claim or defense is one that a party has knowingly and intelligently relinquished; a forfeited plea is one that a party has merely failed to preserve."); *Williamsburg Wax Museum, Inc. v. Historic Figures, Inc.*, 810 F.2d 243, (D.C. Cir. 1987). And Complainants acknowledged that the only issues before the Commission on remand involved taxis, limousines, and selective enforcement in their post-remand filings. Statement of Complainants at 4-10 (Sept. 5, 2018); *see also* Complainants' Exc. to I.D.R. at 2 (stating that "all that remains to be determined is

whether Respondents, in the record, had justified the differential treatment of Complainants as opposed to taxicabs and as opposed to limousines, by legitimate transportation factors”). Consequently, the Commission affirms the dismissal of Complainants’ claim that being charged a monthly per-space fee as opposed to a per-trip fee violates § 41106(2) for the reasons set forth in the FMC Order, 2017 FMC LEXIS 1 at *31-*37.

For similar reasons, the Commission rejects Complainants’ argument that Respondents unreasonably preferred hotels, or unreasonably prejudiced Complainants, because the access fees were structured so that hotels could avoid paying per-trip fees on their shuttle bus trips by using taxis and limousines, whereas Complainants were charged a per-space fee regardless of whether they used taxis and limousines instead of their shuttle buses.¹⁹ Specifically, Complainants argue that they “were and remain unable to arrange for their customers to be transported to or from the Cruise Terminal by taxicabs or limousines without Complainants themselves being charged Access Fees.” Complainants’ Exc. to I.D.R. at 29. In contrast, “[h]otels, by not being designated or treated as ‘Off-Port Parking Users’ (despite meeting the definition), are allowed to arrange for their customers who park their cars at the hotels’ parking lots for the duration of a cruise, for such transportation without the hotels being charged Access Fees by Respondents.” *Id.* at 29-30.

This is not, however, a separate § 41106(2) claim. It is instead a different way of complaining about the differences between the monthly per-space access fees and the per-trip access

¹⁹ Some of Complainants’ statements suggest that the Tariffs prohibited them from using taxis and limousines to transport their customers. *See, e.g.*, Complainants’ Exc. to I.D.R. at 25 (“Similarly, the ALJ fails to consider the Section 4106(2) violation arising from Respondents not allowing Complainants to arrange taxicabs and limousines for the transport of their customers.”). But the Tariffs did not bar Complainants from using taxis and limousines. Rather, the “flat” nature of the monthly per-space fee meant that Complainants were charged access fees even if they used taxis or limousines instead of their own shuttle buses.

fees. The Commission previously found that the monthly per-space access fee regime “allowed Complainants unlimited access to the cruise terminal” and “might have benefitted the Complainants by maximizing customer satisfaction through prompt service while minimizing customer complainants of delayed service.” FMC Order, 2017 FMC LEXIS 1 at *36; I.D.R. at 3, 11; FF 37. Complainants now identify a downside of being charged a flat fee instead of a variable one: they were unable avoid the per-space fee in the same manner that hotels could avoid the per-trip fee by using other forms of transportation. In other words, Complainants argue in their exceptions that the injury analysis accounted for the upside of a flat terminal access fee but not the downside.

But, as noted above, Complainants expressly declined to appeal the Commission’s injury analysis with respect to per-space and per-trip fees. If Complainants felt that the Commission erred in this regard, it was incumbent on them to raise the issue with the D.C. Circuit. Because they did not do so, the Commission will not revisit the issue.

The Commission also finds unpersuasive Complainants’ suggestion that Respondents should have treated hotels as “Off-Port Parking Users” and charged hotels per-space fees instead of per-trip fees. *See, e.g.*, Complainants’ Exc. to I.D.R. at 29 (noting that hotels were not designated or treated as Off-Port Parking Users “despite meeting the definition”). In the 2015 Initial Decision, the ALJ found that hotels “are off-port parking users within the meaning of the tariff.” 2015 I.D., 2015 FMC LEXIS 44 at *73. The Commission disagreed and determined that hotels are not Off-Port Parking Users under the Tariffs. FMC Order, 2017 FMC LEXIS 1 at *28-*30. Complainants did not dispute the Commission’s determination on appeal. Consequently, they forfeited any arguments based on hotels falling within the Tariffs’ definition of Off-Port Parking Users.

2. Lighthouse Parking, Inc.’s Claims

There are three Complainants in this case, and the

Commission dismissed all their claims in its 2017 Order. Complainants EZ Cruise and 81st Dolphin petitioned for review of the FMC Order, but Lighthouse Parking did not. *See* Pet. for Review, *Santa Fe Discount Cruise Parking v. Fed. Mar. Comm’n*, No. 17-1089 (D.C. Cir. Mar. 14, 2017); Br. of Pet’rs at 2 n.3, *Santa Fe Discount Cruise Parking v. Fed. Mar. Comm’n*, No. 17-1089 (D.C. Cir. July 31, 2017) (noting that Lighthouse Parking “did not join in this appeal”). Consequently, the FMC Order became final as to Lighthouse when it declined to appeal. *Nat’l Ass’n of Broadcasters v. FCC*, 554 F.2d 1118, 1124 (D.C. Cir. 1976) (“It is the generally accepted rule in civil cases that where less than all of the several co-parties appeal from an adverse judgment, a reversal as to the parties appealing does not necessitate or justify a reversal as to the parties not appealing.”); *Spradlin v. Williams*, 521 B.R. 1, 19 (Bankr. E.D. Ky. 2014) (“A reversal or vacatur of a judgment in an appeal brought by one party does not upset that judgment or like judgments’ preclusive effect as to the non-appealing parties.”). The Commission therefore affirms the dismissal of Lighthouse’s claims against Respondents based on the FMC Order and the reasoning therein.²⁰

G. Reparations

The Commission finds that Respondent The Board of Trustees of the Galveston Wharves violated § 41106(2) in two ways. First, it engaged in an unreasonable prejudice or preference by charging Complainants monthly \$8.00 per-space access fees while exempting certain limousines from per-space or per-trip access fees. This violation began in August 2006 on the effective date of the 2006 Tariff and ended when the July 2014 Tariff removed the

²⁰ Complainants also alleged that Respondents unreasonably exempted from access fees two private parking lots whose customers walk to the cruise terminal and unreasonably prohibited Complainants from entering the terminal through the “back” gate. Am. Compl. ¶¶ EE-GG, V.G.5. The ALJ dismissed these claims as abandoned because Complainants did not address them in their briefs. I.D.R. at 18-19. Neither party excepts to this finding, and the Commission affirms the dismissal of these claims.

preferential treatment of limousines. The reparations period is therefore August 15, 2006 to June 30, 2014. Second, the Board engaged in an unreasonable preference or prejudice by consistently charging Complainants access fees while failing to enforce per-trip access against certain other limousines as set forth in the Tariffs. This violation began in 2008 when Respondents stopped enforcing per-trip fees against limousines and ended when Respondents began enforcing access fees against limousines in August 2014. This reparations period is 2008 to July 31, 2014.

The ALJ found that the statute of limitations barred reparations for access fees paid before June 16, 2011. I.D.R. at 66. Complainants did not except to the ALJ's findings regarding the statute of limitations, and the Commission affirms it. Considering the statute of limitations, the period of reparations for the first violation is June 16, 2011 to June 30, 2014. The period of reparations for the second violation is June 16, 2011 to July 31, 2014. These periods overlap with only one month's difference. Because the measure of reparations is the same for both violations, the combined reparations period is June 16, 2011, to July 31, 2014.

As for how to calculate reparations, the ALJ found that "because the taxicabs and limousines were not charged for access, that injury would be measured by the difference between the amount charged Complainants and the amount charged taxicabs and limousines – zero." I.D.R. at 66. "Therefore, Complainants' damages would be all of the access fees that they paid to the Port." *Id.* Neither party objects to this conclusion.

The Commission therefore remands this case to the ALJ to consider an appropriate reparations award for the period of June 16, 2011, to July 31, 2014 for EZ Cruise and 81st Dolphin. The record has data on EZ Cruise and 81st Dolphin access fee payments for all months except July 2014. See Complainants' App. at 45-56 (Galveston Wharves Historical Detailed Trial Balance, Access Fees); *id.* at 110-140, 234-271. On remand, EZ Cruise and 81st Dolphin would have the opportunity to prove the amount of access

fees they paid that month. The ALJ may also consider whether and how to pro-rate June 2011 and the extent to which decal fees affect the reparations calculation – while taxis and limousines did not pay per-trip or per-space access fees under the tariffs, they did pay decal fees.

H. Attorney Fees

The ALJ determined that Respondents were prevailing parties. I.D.R. at 68. Because the Commission is reversing the ALJ's liability determination, the Commission vacates the ALJ's prevailing party finding. It would be premature to make any additional findings on attorney fees. The appropriate time to address attorney fees is when addressing a timely petition under 46 C.F.R. § 502.254(c). That said, the Commission notes that it has previously spoken to the applicability of the Howard Coble Coast Guard and Maritime Transportation Act of 2014, Pub. L. No. 113-281, § 402, 128 Stat. 3022, 3056 (Dec. 18, 2014) (Coble Act), in situations where a case was pending as of enactment, but reparations were awarded after enactment. In its final rule on attorney fees, the Commission indicated that the Coble Act would likely apply in that scenario. Final Rule: Organization and Functions; Rules of Practice and Procedure; Attorney Fees, 81 Fed. Reg. 10508, 10516-17 (Mar. 1, 2016).

III. CONCLUSION

The Commission:

- (1) reverses the Initial Decision on Remand in part and finds that Respondent The Board of Trustees of the Galveston Wharves violated 46 U.S.C. § 41106(2) with respect to Complainants EZ Cruise and 81st Dolphin;
- (2) remands this case for further proceedings on reparations for the § 41106(2) violations;

- (3) vacates the Initial Decision on Remand with respect to the prevailing party determination and attorney fees; and
- (4) affirms the Initial Decision on Remand in all other respects.

By the Commission.

Rachel E. Dickon
Secretary